

SALES AND DISTRIBUTION AGREEMENT

Contract No.: AWC-SO43672-014
Purchase Order Ref.: PO13862153537 | Sales Order: SO43672
Agreement Date: May 31, 2011

WHEREAS, Adventure Works Cycles, Inc. is a manufacturer and distributor of high-performance bicycles, cycling accessories, and related sporting goods; and

WHEREAS, Red Bicycle Company (hereinafter "Buyer") desires to purchase certain goods from Seller under the terms and conditions set forth herein;

NOW, THEREFORE, in consideration of the mutual covenants and agreements contained herein, the Parties agree as follows:

1. PARTIES TO THE AGREEMENT

PARTY A - Seller / Vendor

Adventure Works Cycles, Inc.
Adventure Works Cycles, Inc.
1 Bike Way, Building A
Redmond, Washington 98052
United States of America
EIN: 91-1234567

PARTY B - Buyer / Distributor

Red Bicycle Company
Pnot-Rouge, Quebec J1E 2T7
Canada

2. SCOPE OF GOODS AND SERVICES

Seller agrees to supply, and Buyer agrees to purchase, the following goods as specified in Sales Order SO43672 and incorporated Purchase Order PO13862153537:

- Product Categories: Clothing; Bikes
- Product Subcategories: Socks; Mountain Bikes
- Total Line Items: 3
- Specific Products:
Mountain Bike Socks, M; Mountain-100 Black, 42; Mountain-100 Silver, 48

All products shall conform to Adventure Works Cycles published specifications and quality standards applicable at the time of shipment.

3. CONTRACT VALUE AND PAYMENT TERMS

Subtotal: \$6,124.18 USD

Tax Amount:

Total Contract Value: \$6,895.41 USD

Payment Terms: 50% upon execution; 50% upon delivery and acceptance.

Payment Method: Vista card on file under Account No. AW00030067. All amounts are stated in United States Dollars (USD) unless otherwise agreed in writing.

4. TERM, EFFECTIVE DATE, AND EXPIRATION DATE

Effective Date: May 31, 2011

Shipment / D

This Agreement shall become effective on the Agreement Date and shall remain in force until the Expiration Date (June 11, 2012), unless earlier terminated in accordance with Section 8 below, or extended by mutual written amendment.

5. DELIVERY AND SHIPPING TERMS

Ship Method: CARGO TRANSPORT 5

Carrier Track

Delivery shall be made via Cargo Transport 5 freight carrier. Risk of loss shall transfer to Buyer upon handover to the carrier at Seller's shipping facility.

Delivery shall be made to: Red Bicycle Company, Pnot-Rouge, Quebec, Canada J1E 2T7. Seller shall provide advance shipment notification (ASN) to Buyer no later than 24 hours prior to dispatch.

6. WARRANTIES

Seller warrants that all goods delivered under this Agreement shall: (i) conform to the specifications set forth in the relevant Purchase Order; (ii) be free from defects in materials and workmanship for a period of twelve (12) months from the date of delivery; and (iii) be fit for their intended commercial purpose. This warranty is in addition to any statutory rights of Buyer.

7. CONFIDENTIALITY

Each Party agrees to maintain in strict confidence all Confidential Information received from the other Party and shall not disclose such information to any third party without prior written consent, except as required by applicable law or regulation. This obligation shall survive termination of this Agreement for a period of five (5) years.

8. TERMINATION

Either Party may terminate this Agreement for convenience upon thirty (30) days' prior written notice to the other Party. In the event of a material breach, the non-breaching Party may terminate immediately upon written notice if the breach is not cured within fifteen (15) days of such notice. Upon termination, all outstanding payment obligations shall become immediately due and payable.

9. INDEMNIFICATION

Each Party ('Indemnifying Party') shall indemnify, defend, and hold harmless the other Party and its officers, directors, employees, and agents ('Indemnified Party') from and against any claims, losses, liabilities, damages, costs, and expenses (including reasonable attorneys' fees) arising from: (i) the Indemnifying Party's breach of this Agreement; (ii) gross negligence or willful misconduct; or (iii) infringement of any third-party intellectual property rights.

10. LIMITATION OF LIABILITY

IN NO EVENT SHALL EITHER PARTY BE LIABLE FOR ANY INDIRECT, INCIDENTAL, SPECIAL, CONSEQUENTIAL, OR PUNITIVE DAMAGES ARISING OUT OF OR IN CONNECTION WITH THIS AGREEMENT. EACH PARTY'S AGGREGATE LIABILITY SHALL NOT EXCEED THE TOTAL AMOUNTS PAID OR PAYABLE UNDER THIS AGREEMENT IN THE TWELVE (12) MONTHS PRECEDING THE CLAIM.

11. AUDIT RIGHTS

Buyer shall have the right, upon reasonable notice and during normal business hours, to audit Seller's books and records directly related to transactions under this Agreement. Seller shall maintain accurate records for a minimum of three (3) years following each transaction. Any overpayment identified through audit shall be refunded within thirty (30) days.

12. ASSIGNMENT

Neither Party may assign or transfer this Agreement or any rights or obligations hereunder without the prior written consent of the other Party, which shall not be unreasonably withheld. Any attempted assignment in violation of this clause shall be void ab initio.

13. GOVERNING LAW AND DISPUTE RESOLUTION

This Agreement shall be governed by and construed in accordance with the laws of State of New York, without regard to its conflict-of-law provisions. Any disputes arising hereunder shall be resolved by binding arbitration in Pnot-Rouge, Canada.

14. ENTIRE AGREEMENT; AMENDMENTS

This Agreement, together with all Exhibits and Purchase Orders incorporated herein by reference, constitutes the entire agreement between the Parties with respect to its subject matter and supersedes all prior negotiations, representations, warranties, and understandings. Amendments must be in writing and signed by authorized representatives of both Parties.

SIGNATURE PAGE

IN WITNESS WHEREOF, the Parties have executed this Sales and Distribution Agreement as of May 31, 2011, the date first written above.

PARTY A - SELLER

Authorized Signature

Name: _____

Title: _____

Date: _____

Adventure Works Cycles, Inc.

PARTY B - BUYER

Authorized Signature

Name: _____

Title: _____

Date: _____

Red Bicycle Company

EXHIBIT A SCHEDULE OF GOODS

Sales Order: SO43672 | Purchase Order: PO13862153537 | Order Date: May 31, 2011

#	Product Name	Category	Qty
1	Mountain Bike Socks, M	Clothing	1
2	Mountain-100 Black, 42	Bikes	1
3	Mountain-100 Silver, 48	Clothing	1

TOTAL CONTRACT VALUE: \$6,895.41 USD